

OIC 5: key operational changes – valuation criteria and financial statements

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The draft of the new OIC 5 introduces significant changes to the operational aspects of the liquidation financial statements, outlining a more organized and differentiated framework depending on whether or not the company has continuing operations.

For companies in liquidation without continuing operations, i.e., in cases where a provisional exercise has not been decided, not even for specific branches, the use of the balance sheet and income statement models outlined in Appendix A and the cash flow statement in Appendix C is required. In this context, the accounting approach is entirely focused on the liquidation of assets.

In terms of valuation, the draft adopts criteria based on greater prudence and a significant reduction of forecasting elements. Tangible and intangible assets, equity investments, and debt securities are valued at the lower of the carrying amount at the start of liquidation and the realizable value inferred from market trends; tangible and intangible assets are no longer subject to depreciation, while debt securities are not valued using amortized cost. Receivables are recorded at their presumed realizable value, and liabilities at their presumed settlement value, which may differ from the nominal value only when there are certain elements (e.g., penalties or discounts). Neither amortized cost nor discounting mechanisms apply to these items, as they are not consistent with the liquidation logic.

Other balance sheet items (including inventories, work in progress, cash, provisions for risks and charges, accruals, and foreign currency transactions) continue to be governed by ordinary accounting principles. The differences resulting from the application of the new valuation criteria are recorded in equity under the “liquidation adjustments” item.

From a presentation perspective, the traditional distinction between fixed and current assets is replaced by a classification by nature, more in line with the liquidation purpose. Specific items are introduced in the income statement, including A6 “Proceeds from the liquidation procedure” and B15 “Costs of the liquidation procedure,” aimed at separately highlighting the economic effects of the disposal.

For companies in liquidation with continuing operations, if partial or full continuation is planned, Article 2490 of the Civil Code requires separate disclosure of the related items. In these cases, the draft proposes using the balance sheet and income statement models in Appendix B and the cash flow statement in Appendix D.

The adopted model is “mixed”: for business branches in continuation, ordinary accounting principles apply, as a functional logic persists, while for assets designated for liquidation, specific liquidation phase criteria apply. This distinction is also reflected in the balance sheet presentation, with separate highlighting of liquidation assets.

Among the simplifications introduced, the possibility of omitting comparative financial statements in the first year of application of the new models is noted, if the comparison with operational data is deemed insignificant, provided adequate disclosure is included in the notes.

Overall, the draft of the new OIC 5 marks a significant evolution: the liquidation financial statements are no longer aimed at estimating the realizable value but serve as a tool for reporting the progress of the procedure, using more rigorous and practically applicable valuation criteria.

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